of funds for a concern. This chapter throws light on each source of capital.

19.01 Meaning and Nature of Business Finance

Meaning

The term business finance denotes the economic resources employed in business enterprises. This term includes money and credit employed in the business. Business finance is mainly concerned with arrangement of cash and credit for the business enterprises to carry out their day to day operations smoothly.

It is clear from the definitions given above that the term 'business finance' is mainly concerned with not only acquisition of funds from various sources but also with effective and efficient utilisation of the finance mobilised therefrom.

Definition

"The finance function is the process of acquiring and utilizing funds by a business."

– R.C. Osborn

"Finance is that business activity which is concerned with the acquisition and conservation of capital fund in meeting the financial needs and overall objectives of business enterprises."

- B.O.Wheeler

Nature and Significance of Business Finance

Nature of Business Finance

The following characteristics can be derived from the above definitions.

1. Business finance comprises of all types of funds namely short, medium and long term used in business.
2. All types of organisations namely small, medium and large enterprises require business finance.
3. The volume of business finance required varies from one business enterprise to another depending upon its nature and size. In other words, small and medium enterprises require relatively lower level of business finance than the large scale enterprises.
4. The amount of business finance required differs from one period to another. In other words the requirement of business finance is heavy during the peak season while it is at low level during the dull season.
5. The amount of business finance determines the scale of operations of business enterprises.

Significance of Business Finance

Business enterprise can function effectively and efficiently only with adequate business finance. It cannot expand its business operations without business finance. The success of any business firm depends, to a larger extent, on the manner in which it mobilizes, uses and disburses its funds.

The following points highlight the significance of business finance.

1. A firm with adequate business finance can easily start any business venture.
2. Business finance helps the business organisation to purchase raw materials from the supplier easily to produce goods.

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